

Quiz 3

ECON 300 – Labour Economics

March 04, 2026

Part A: Multiple Choice Questions (8 marks)

1. What is the primary difference between a monopsonist and a firm which operates in a perfectly competitive labour market?

- A) The monopsonist is likely to be more profitable.
- B) In order to recruit another worker, the monopsonist incurs a larger increase in labour costs.
- C) In order to recruit another worker, the monopsonist incurs a smaller increase in labour costs.
- D) The monopsonist hires such that the marginal revenue product of labour is equal to the marginal labour cost, but the non-monopsonist does not.
- E) The labour supply curve is irrelevant for the monopsonist.

2. Which of the following statements is false?

- A) The monopsonist is a wage taker.
- B) Technically speaking, the monopsonist has no demand curve for labour.
- C) The monopsonist has market power in the labour market.
- D) The monopsonist is a profit-maximizing firm.
- E) The monopsonist may be able to carry out wage discrimination.

3. Which of the following statements regarding monopsony is false?

- A) The equilibrium wage and the equilibrium employment levels are lower than what they would be if the labour market were perfectly competitive.
- B) All workers except for the marginal worker are paid more than their reservation wage.
- C) If a competitive labour market were to become a monopsony, economic rent would be transferred from the workers directly to the employer.
- D) The total wage bill is lower in the case of monopsony.
- E) The marginal cost of labour is lower than the average cost of labour in the case of monopsony.

4. If a firm operates in a perfectly competitive labour market, then:

- A) It must be a monopsonist.
 - B) It faces an infinitely elastic supply of labour.
 - C) Its demand for labour must be inelastic.
 - D) It must also operate in a perfectly competitive output market.
 - E) The workers are unionized.
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Part B: Problem (12 marks)

Suppose the market labour supply and demand are:

$$N^S = 25W$$

$$N^D = 500 - 12.5W$$

where W is the wage rate and N is employment.

- (a) (4 marks) Find the competitive equilibrium wage W^* and employment N^* .
- (b) (4 marks) Compute worker surplus (WS) and firm surplus (FS) at the competitive equilibrium.

Hint: Use geometric triangle areas. You may find it helpful to write inverse supply and inverse demand.

- (c) (4 marks) Suppose labour demand increases to:

$$N^{D'} = 600 - 12.5W$$

Find the new equilibrium wage and employment. Briefly explain why both W and N change.